Class 20: The Yale Endowment

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Paul Goldsmith-Pinkham
Yale University

https://paulgp.com

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Positioning

Where We've Been	Where We Are	Where We're Going
Private equity, hedge funds, performance evaluation	Yale case: putting it all together in one institution	Fixed income

The Wrong Question vs. the Right Question

The easy question: **Was Yale good?**

- Headline returns say yes.
- Long-run peer-relative evidence is too strong to dismiss.

The **harder** question today:

What generated Yale's outperformance, how much of it is repeatable, and what should Yale do with the next marginal dollar?

Your Debates Got Here

Across 94 transcripts and 16 teams, the strongest student insights converged:

1. The Yale model is a **conditional decision rule**, not a portfolio recipe.
2. The inefficiency thesis is really an **institutional-capability** thesis.
3. The model's success may be the **source of its own erosion** at $31B+ scale.
4. Allocation convergence is not **capability** convergence.
5. Performance measurement and governance are the **same problem**.
6. Political permission is part of **asset allocation**, not an externality.

Shout-outs incoming: QQQ, Prism, Compounders, Gecko, Sequoia, Waffle House Index, YOLO, RHEMA, Money Printer, Leveraged Llamas...

Teams and Members (1 of 2)

Team	Members
Anti-Undergrads	Craig Cowell, Matthew Jones, Alejandro Alderete, Rosemary Li
Beta Bandits	Dan Baglini, Ellen Zhang, Libby Liu, Mehak Parwani, Vini Rupchandani
The Compounders	Sachit Varma, Era Mane, Parmjot Gill, David Schmidt, Sami Moufarrij
Gecko Capital	Dixcey Wang, Wendy Liu, Zhuoran Guo
Leveraged Llamas	Riley Avelar, Gaby Lord, Keita Koizumi
Money Printer Go Brrr	Bob Li, Jiayou Sun, Lydia Sun, Evangeline Wu, Jordan Zhang
Prism Partners	Qinyi Li, Yichen Zhou, Veronica Jiang, Lucy Lu, Krystal Liu
QQQ	Nina Lin, Andy Long, Jing Pu, Yohei Ueki

Teams and Members (2 of 2)

Team	Members
RHEMA	Ryan Carver, Hotatsu Takashima, Eddie Dong, Michelle Li, Ahmed Darwish
Salsa Verde	Tejas Sheth, Marley Brown, Kane Akar, Kemal Amanmyradov, Maurya Kakumanu
Sequoia Capital	Iris Yang, Szuhan Chen, H. Yin
Team Married Men	Yang Zhao, Jinwoo Cho, Darren Li, Wei Huo, Junzhe Shen
The Timber Wolves	Matthew Asquith, Max Netband, Ravi Joshi-Wander
The Waffle House Index	Valentine Van Keerberghen, Oussama Chaabi, Gentry Higgins
YOLO Fund	Sergio Buzzerio, Sam Sun, Stella Wang, Jonah Hazan

15 teams. Team names appear in italics on later slides to flag who carried each thread.

Five Questions That Run Through the Case

Tension	Question	Part
Mission vs. hoarding	What is the endowment *for* — can Yale fail by spending too *little* as easily as by taking too much risk?	1
Diversification vs. concentration	Is Yale genuinely diversified, or concentrated in illiquidity & equity risk with a liquidity backstop?	2
Alpha vs. access vs. reporting	Did Yale outperform because of skill, structural access & governance, or because benchmarks flatter illiquid portfolios?	4
Institution vs. individual	Did Yale institutionalize its edge, or *was* Swensen the model?	6
Permission vs. discretion	Can Yale still run this model if politics, regulation, or scrutiny narrow its freedom?	7

Part 3 (the FY2025 data reveal) and Part 5 (sleeve-by-sleeve) cut across all five.

Part 1 — Purpose, not performance

Tension 1: *Mission vs. hoarding*

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Cold Call: What Is the Yale Endowment For?

Likely first answers:

- intergenerational equity
- funding Yale's mission
- preserving purchasing power
- smoothing spending

Push:

- Is it also about **sovereignty** — independence from state, donor, or political pressure?
- Can Yale fail by **spending too little** as easily as by taking too much risk?

Best original student insight (Waffle House Index): sovereignty as a distinct, historically grounded purpose.

Two Policy Questions, Not One

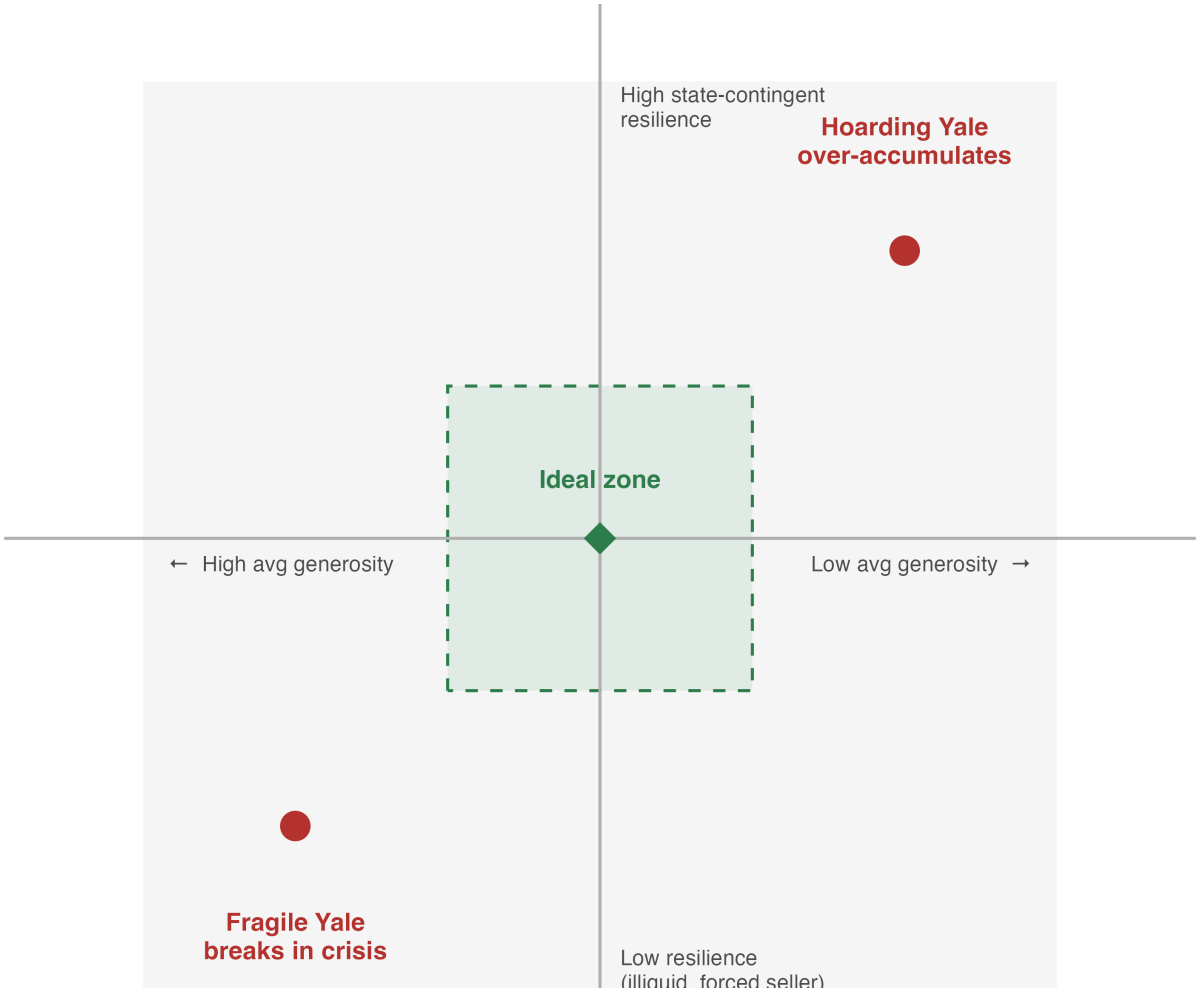
A good endowment policy can fail in **two opposite ways**:

- **Average generosity** — how much should Yale spend on average over time?
- **State-contingent resilience** — how much liquidity does Yale need when bad things happen?

Separating these is the cleanest way to discuss 2008 without collapsing into "Yale was greedy" or "Yale did nothing wrong."

Leveraged Llamas, Waffle House, Beta Bandits landed here independently.

A Good Endowment Can Fail Two Ways



Part 2 — What the portfolio *actually* is

Tension 2: *Diversification vs. concentration*

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The Canonical Five Principles

From the case:

1. Equity bias
2. Diversification
3. No market timing
4. Inefficient markets
5. External managers

But is this really "diversification"? Or is Yale concentrated in illiquidity, equity risk, and manager selection, with a liquidity toolkit holding it together?

The 2021 Target Allocation (from the case)

Sleeve	2021 Target
Venture Capital	23.5%
Absolute Return	23.5%
Leveraged Buyouts	17.5%
Foreign Equity	11.75%
Real Estate	9.5%
Fixed Income & Cash	7.5%
Natural Resources	4.5%
Domestic Equity	2.25%

47% target in VC + LBO + Absolute Return on a $31.2B endowment.

Part 3 — The model *already* moved

FY2025 actuals — thanks, Will

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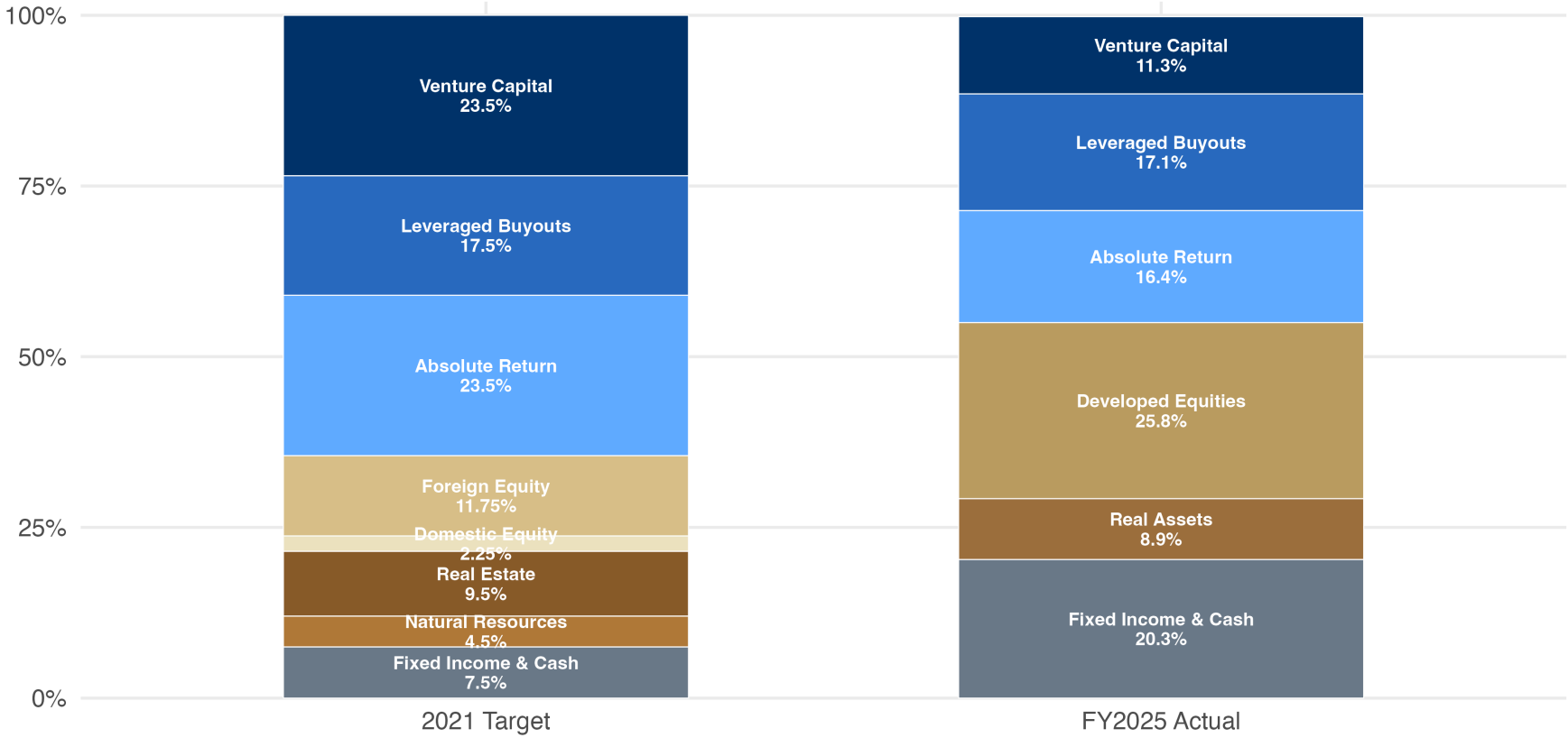
Yale Already Walked It Back

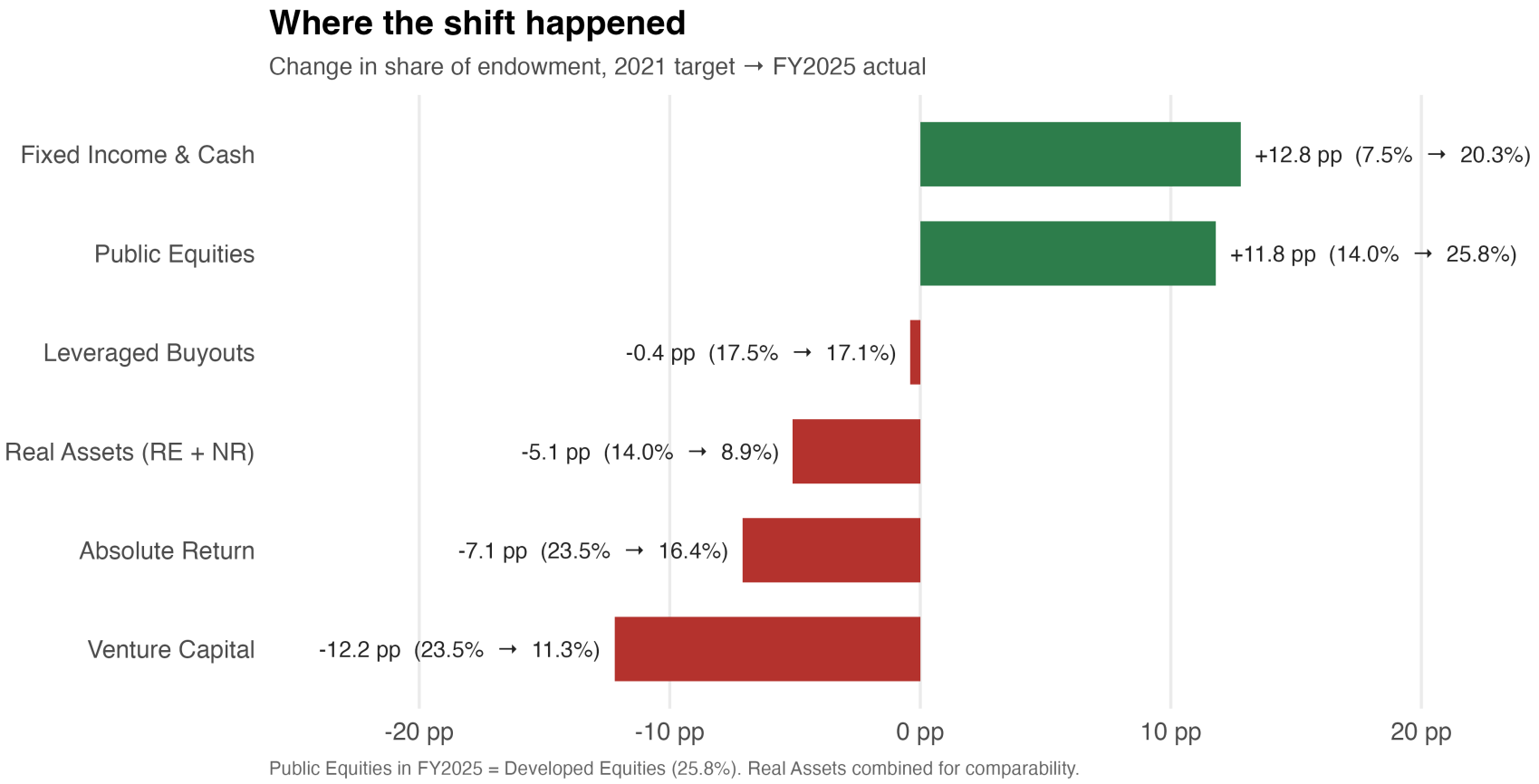
Yale has already walked the portfolio back

2021 target allocation (case) vs FY2025 actual (Yale Investments Office)



Sources: HBS 821-074 (2021 targets); Yale Investments Office as of June 30, 2025 (via W. Goetzmann).

Where the Shift Happened



What the Shift Actually Says

Between the 2021 target and FY2025 actual:

- **Venture capital cut nearly in half:** 23.5% → 11.3%
- **Absolute return cut by a third:** 23.5% → 16.4%
- **Public equities nearly doubled:** ~14% → 25.8%
- **Fixed income + cash nearly tripled:** 7.5% → 20.3%
- **LBO essentially flat:** 17.5% → 17.1%

So who was right? The strongest student insight was also what Yale did: **sleeve-by-sleeve re-underwriting, not blanket abandonment.**

Source: Yale Investments Office, as of June 30, 2025 (via W. Goetzmann).

But Note What Did Not Happen

LBO stayed at ~17%. Why?

- Scarcity of access in the very top tier is still real
- Exit from relationships is much harder than entry
- Legacy commitments and illiquidity lock in part of the allocation

Gecko Capital and Sequoia landed here: the sleeve-level story isn't "cut PE" — it's "cut the commoditized parts, preserve scarce relationships."

The forward-looking question is no longer "is the Yale model right?" It's which sleeves still earn their keep?

Part 4 — "Inefficient markets"

Tension 3: *Alpha vs. access vs. reporting*

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Unpacking the Inefficiency Thesis

For the framework to work, **all** of these must hold:

1. Wide manager dispersion exists in the asset class
2. Yale can **identify** the top of the distribution
3. Yale can **access** top managers
4. Yale can **scale** the strategy enough to matter
5. Yale can **preserve** edge as capital floods in

If peers copied the allocation but not the returns — the moat was never in the allocation.

QQQ, Prism Partners, Compounders: allocation convergence is not capability convergence.

Alpha _Existence_ vs. Alpha _Capacity_

A very sharp distinction from the QQQ / Gecko transcripts:

> **Yale may still generate alpha in more efficient markets — but *not at the scale* a $31B pool requires.**

This reframes the whole case. It's not "where does alpha exist?" — it's **where can Yale deploy alpha materially?**

Performance: What Can We Actually Claim?

Strong claims	Weak / overstated claims
Yale massively outperformed average endowments over decades	A precise annual alpha number
Yale created enormous economic value for the university	Clean risk-adjusted (Sharpe-style) superiority
Persistent peer outperformance — not one lucky vintage	Clean separation of skill from smoothing and reporting
Strong results in *liquid* foreign/EM equity sleeves too	That 2008-09 was just an “unlucky tail”

Sequoia, Compounders: Yale’s record is more credible as long-run wealth creation than as precise annual risk-adjusted superiority.

Part 5 — Forward-looking

Which sleeves still earn their keep?

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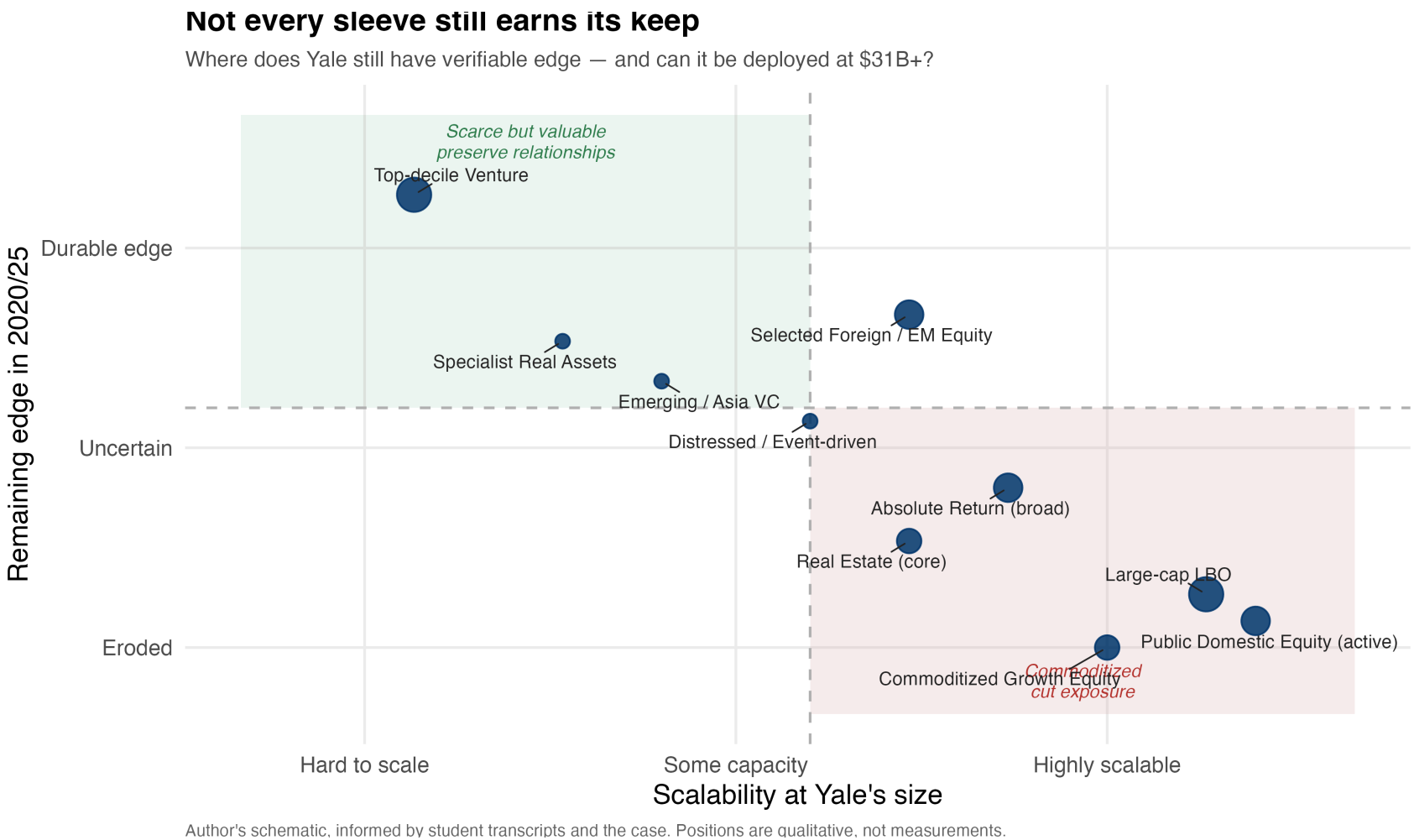
Not Every Sleeve Still Earns Its Keep



The Best Forward-Looking Discipline

Evaluate PE / VC against **Yale's achievable alternative**, not median PE vs. frictionless S&P.

Watch for edge erosion (from the Prism / QQQ / Compounders transcripts):

- fund size growth
- strategy drift
- fee creep
- declining hurdle rates
- loss of exclusivity

Slow drift may be more dangerous than visible crisis. — Gecko Capital

Crisis creates clear decisions. Drift erodes GP quality without a single decision point.

Part 6 — Swensen & succession

Tension 4: *Institution vs. individual*

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Was Swensen the Model?

Institutionalized	Potentially personal
Staff pipeline & culture	Judgment under ambiguity
Investment Committee support	Willingness to be radically unconventional
LP reputation with top GPs	Credibility to stay aggressive in a drawdown
External-manager architecture	Social capital with elite GPs (Sutter Hill, Hillhouse, Baker)
Liquidity toolkit	Ability to say *no* to asset gatherers

RHEMA, Money Printer, Gecko: external-manager model may age better than Harvard's historical internal-star model.

The Post-Swensen Question

Not “replace Swensen.” Not “become conventional.”

How does Yale remain *intelligently* unconventional when the founder-judgment is gone?

- The spending rule still mechanically pushes toward risky, illiquid assets.
- The question isn’t whether to be unconventional, but **how**.

Part 7 — Permission risk

Tension 5: *Permission vs. discretion*

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The Newer Risk: Loss of Permission

A very strong point from later transcripts (Compounders, Sequoia):

- endowment taxation
- divestment pressure
- DEI mandates in manager selection
- scrutiny over under-spending
- reputational limits on unconventional positions

Once politics can change Yale's spending needs, taxes, or investable universe, **politics is no longer an externality — it becomes part of asset allocation**.

A model can be broken by loss of permission as easily as by bad returns.

The Yale case on one board

Not “was Yale good?” — but which edges are still real, scalable, and defensible?

Purpose / constraints

mission support
sovereignty & independence
intergenerational equity
average generosity
bad-state resilience

Why Yale won historically

equity bias
illiquidity tolerance
top-manager access
governance patience
liquidity infrastructure
early-mover advantage

2020 vulnerabilities

scale vs capacity
crowding in PE / VC
sleeve-by-sleeve erosion
measurement ambiguity
succession & slow drift
political permission

What should Yale do with the next marginal dollar?

Bottom Line

1. Yale's historical success was **real**.
2. But the historical record **overstates** how transferable and scalable the model is.
3. The right reading isn't "own more alternatives" — it's **"allocate to inefficient markets only where durable edge can be verified."**
4. The biggest 2020–25 risk is **scaling the model past** the point where its original alpha still exists.
5. A second major risk is **loss of discretion** — political, regulatory, reputational.
6. And — looking at what Yale *actually* did — the recommendation is **evolution, not repudiation**.

The best students were already here. Yale, it seems, was too.

In One Sentence

This is not a case about whether Yale was good.

It is a case about whether a historically brilliant institutional design can survive *success, scale, crowding, and succession*.

Next Class: April 16 --- Fixed Income I

- Zero-coupon bonds
- Yield curves
- Coupon bonds and yield to maturity

Shift gears: we've spent weeks on equities, alternatives, and active management. Time to price cash flows.